



**“The rules change in every state... But that doesn’t mean, we have been involved in illegal activity. We are generating lakhs of jobs by virtue of Captains already owning a bike”**

**ARAVIND SANKA**  
CO-FOUNDER, RAPIDO



**“Bike taxis... [are] affordable, convenient and safe. We were convinced about the business from day one. We knew it is going to be a multibillion-dollar opportunity in the long term”**

**KUNAL KHATTAR**  
FOUNDING PARTNER,  
ADVANTEDGE FOUNDERS



**“Once you create a circuit of bikers, you can create a subscription model. I feel these services will come down to this model, where drivers will pay a monthly subscription to use the app”**

**ASHUTOSH JOHRI**  
CO-FOUNDER, BAXI



**“The [bike-taxi] industry was quite small till CY19, and de-grew in 2020, but since last year, growth has been phenomenal. If you compare CY20 with CY22, bike-taxi rides have grown 2.5 to 3 times”**

**UJJWAL CHAUDHRY**  
PARTNER, REDSEER MANAGEMENT  
CONSULTING

shared mobility. For them to deliver a ₹50-60-product, profitably, is impossible. When you are over-capitalised, you throw money at every problem, which is what is happening with subsidised rides and heavy customer-acquisition costs. Therefore, it is very difficult for them to become capital conscious,” says a VC investor who has made bets on the mobility space, and who wishes to remain anonymous.

Meanwhile, Rapido’s dominance in the bike-taxi space is undeniable, with it being the backbone of its entire business. This is precisely why they can’t afford to halt operations. However, as the demand for convenient and affordable transportation continues to rise, the bike-taxi market is ripe for the picking. With three players—Rapido, Ola and Uber—in the race, it’s clear that everyone understands the immense potential of this evolving segment.

Ashutosh Johri, Co-founder of now-defunct bike-taxi service provider Baxi, says the winner will be the one that creates the biggest supply network. And he believes that the commission-based model may not be the most suitable and sustainable one for bike-taxi. “If you try to take a cut on every ride, it is not a valid model. The reason why they [aggregators] are surviving is because they are giving incentives. That’s the reason they are not making money as well,” he says. “Once you create a mega circuit of bikers, you can create a subscription model for them. I feel these services will ultimately come down to this model, where the driver will pay a monthly subscription to use the app.”

While this type of model has not been experimented with, it could potentially offer a better deal to the riders and incentivise more riders to sign up on the platforms. Commuters would also stand to gain as in the cities, where most trips are short and solo, two-wheelers offer a fast and affordable solution—especially for the younger crowd—who prioritise cost-effective travel options. Also, they solve the first- and last-mile challenge, while maintaining a steady stream of commuters for the riders.

But not too long ago, the pandemic had hit the urban mobility industry hard, leading to a sharp decline in the number of cabs on the roads. And now, cabs have become increasingly unaffordable and unreliable. Take the example of Bengaluru where, once thriving, the number of taxis on the city’s roads has dwindled to 35,000-40,000 vehicles, from 100,000-125,000 in 2018, says Tanveer Pasha, President of Ola-Uber Cab Drivers’ Association. As a result, service levels have sunk to an all-time low.

And while autorickshaws serve as the most af-